

HOUSE BILL No. 1108

DIGEST OF INTRODUCED BILL

Citations Affected: IC 8-23-9.

Synopsis: Contracts for road projects. Allows the commissioner of the Indiana department of transportation (commissioner) to let a contract for the construction, improvement, or maintenance of a road to a bidder that is not the lowest and best bidder if all of the following apply: (1) The bidder is responsive and qualified. (2) The bidder commits to employing Indiana residents for not less than 65% of the total workforce for the project. (3) The bidder's bid is not more than: (A) 5% greater than the bid submitted by the lowest and best bidder; and (B) the estimated cost of the project. (4) The commissioner determines that awarding the contract to the bidder is in the best interests of the project and the community. (5) The bidder demonstrates certain compliance requirements.

Effective: July 1, 2026.

Haggard, Pressel

January 5, 2026, read first time and referred to Committee on Roads and Transportation.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1108

A BILL FOR AN ACT to amend the Indiana Code concerning transportation.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 8-23-9-3 IS AMENDED TO READ AS FOLLOWS
2 [EFFECTIVE JULY 1, 2026]: Sec. 3. Except as provided in sections 4,
3 ~~and 4.5, and 4.7~~ of this chapter, the commissioner shall let the contract
4 for the construction, improvement, or maintenance of the road to the
5 lowest and best bidder. The determination of the lowest and best bidder
6 must include any requirement imposed under section 13 of this chapter.
7 The lowest and best bid may not be for a greater sum than the
8 estimated cost of the project.
9 SECTION 2. IC 8-23-9-4.7 IS ADDED TO THE INDIANA CODE
10 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
11 1, 2026]: **Sec. 4.7. Notwithstanding any other statute or rule**
12 **adopted by the department, the commissioner may let a contract**
13 **to a bidder that is not the lowest and best bidder if all of the**
14 **following apply:**
15 (1) **The commissioner determines the bidder is responsive and**
16 **qualified.**
17 (2) **The bidder commits to employing Indiana residents for**



1 not less than sixty-five percent (65%) of the total workforce
2 for the project. For purposes of this subdivision, an individual
3 is considered an Indiana resident if the individual's primary
4 residence was located in Indiana for not less than twelve (12)
5 consecutive months prior to the anticipated commencement
6 of work on the project.

7 (3) The amount of the bidder's bid is not more than:

8 (A) five percent (5%) greater than the amount of the bid
9 submitted by the lowest and best bidder; and

10 (B) the estimated cost of the project.

11 (4) The commissioner determines that awarding the contract
12 to the bidder is in the best interests of the project and the
13 community.

14 (5) The bidder demonstrates the following:

15 (A) Participation in a registered apprenticeship program
16 recognized by the United States Department of Labor that
17 is applicable to the work being performed.

18 (B) Use of a workforce whose employment eligibility has
19 been verified through the federal E-Verify program or an
20 equivalent employment authorization program, with
21 worker verification numbers provided to the
22 commissioner.

23 (C) Maintenance of a policy prohibiting the use of
24 independent contractors on the project.

25 (D) Submission of certified payroll reports to the
26 commissioner verifying compliance with all applicable
27 wage and labor standards.

